

IMARTICUS LEARNING

Money Laundering & Terror Financing



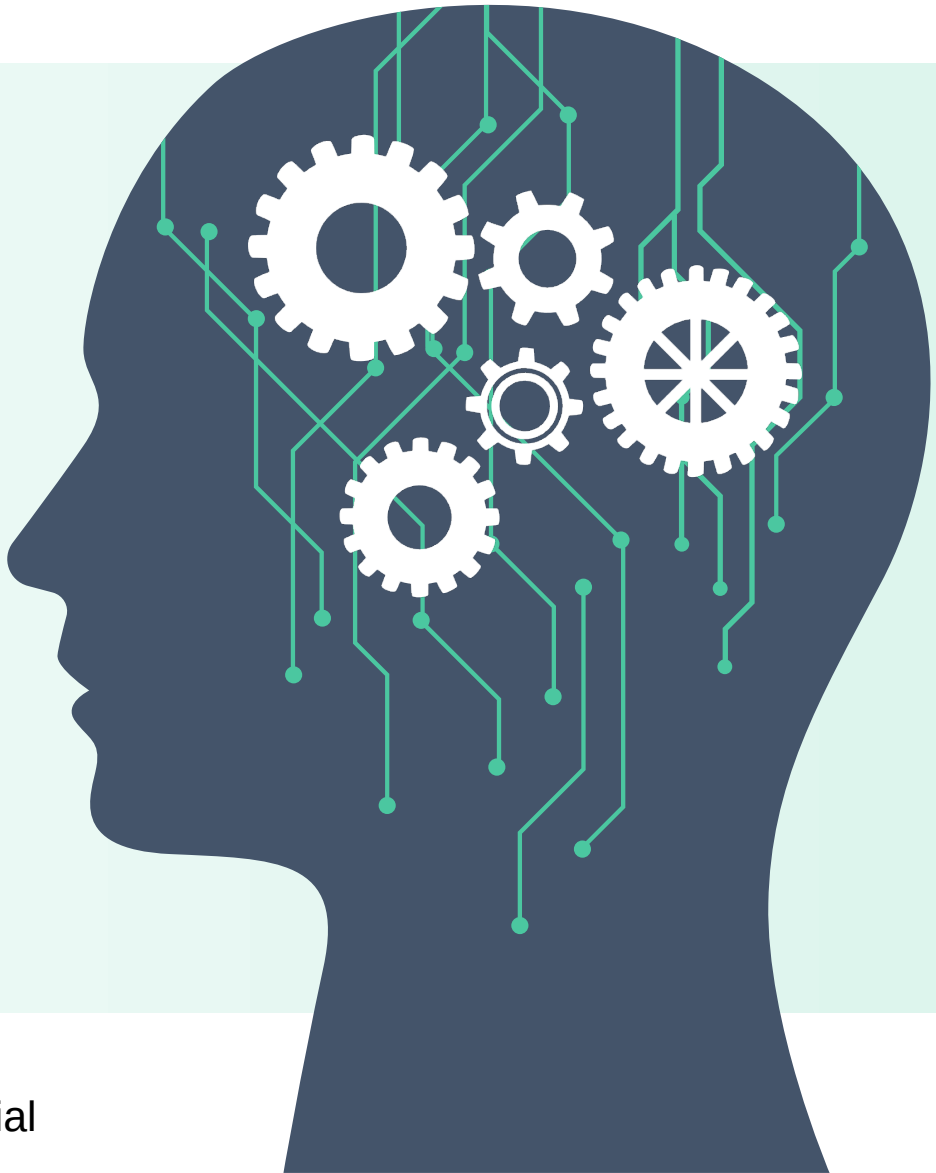
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YOU ARE GOING TO LEARN…

- Introduction to Money Laundering
- Three Stages of Money Laundering
- Methods of Money Laundering
- Terror Financing
- Stages of Terror Financing



MONEY LAUNDERING – WHAT IS IT?

Money laundering

Money laundering is the process by which criminals disguise the original ownership and control of the proceeds of criminal conduct by making such proceeds appear to have derived from a legitimate source.

When did money laundering start in the US?
- 1920's

The term money laundering is said to have its origins from the mafia's ownership of Laundromats in the US in the 1920's and 1930's. Organized criminals were making so much money from extortion, prostitution, gambling and bootlegging, they needed to show a legitimate source of the money.



SOURCES OF MONEY LAUNDERING

Move money anywhere without a trace

Terrorism

Drug money

Capital-flight money

Tax-evading

Bribery of officials



Illegal immigration

Prostitution

Sale of nuclear tech

Arms trafficking

Money Laundering

THREE STAGES OF MONEY LAUNDERING

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The three Stages of Money Laundering are:

Placement → **Layering** → **Integration**



THREE STAGES OF MONEY LAUNDERING

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Money Laundering Cycle

Predicate Crimes

- Corruption and Bribery
- Fraud
- Organized crime
- Drug and human trafficking
- Environmental crime
- Terrorism
- Other serious crimes…

1. Placement

- Initial introduction of criminal proceeds into the stream of commerce
- Most vulnerable stage of money laundering process

2. Layering

- Involves distancing the money from its criminal source:
  - movements of money into different accounts
  - movements of money to different countries
- Increasingly difficult to detect

3. Integration

- The last stage in the laundering process.
- Occurs when the laundered proceeds are distributed back to the criminal.
- Creates appearance of legitimate wealth.

PLACEMENT

Involves placement of bulk cash into the financial system without the appearance of being connected to a criminal activity.

The simplest way to place cash is to deposit cash into a financial institution. Some of the other methods of placement include

- Structuring and smurfing
- Wire transfer
- Insurance purchase
- Gambling
- Currency smuggling
- Currency exchange
- Blending funds
- Loan repayment



PLACEMENT - METHODS ADOPTED (CONTD.)

Structuring	Structuring is a method of money laundering where large amounts of illicit money are broken down into smaller, less suspicious transactions to avoid detection by financial institutions and regulators. This is done to evade reporting requirements that mandate banks to report cash transactions above certain threshold (e.g. USD 10,000 in the US).

Placement poses the greatest risk to our businesses:

- Transactions may be structured to avoid recordkeeping or reporting thresholds.
- False identification and/or information may be provided.

Structuring and Smurfing

- Structuring and Smurfing are the terms used interchangeably, but they differ from each other.
- Structuring involves intentionally splitting a large financial transaction into a series of smaller transactions to avoid catching the eyeballs of regulators.
- Smurfing, however, includes structuring and using different accounts to deposit money into one or multiple financial institutions.

LAYERING - METHODS ADOPTED

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Transfer of funds by cheque or monetary instrument

Exchange cashier's cheques & other monetary instruments for other cashier's cheques (larger or smaller), adding additional cash

Interbank transfers between accounts owned or controlled by common individuals

Wire transfers to accounts under customer and business names at other financial institutions

Depositing a refund cheque from a canceled vacation package or insurance policy.

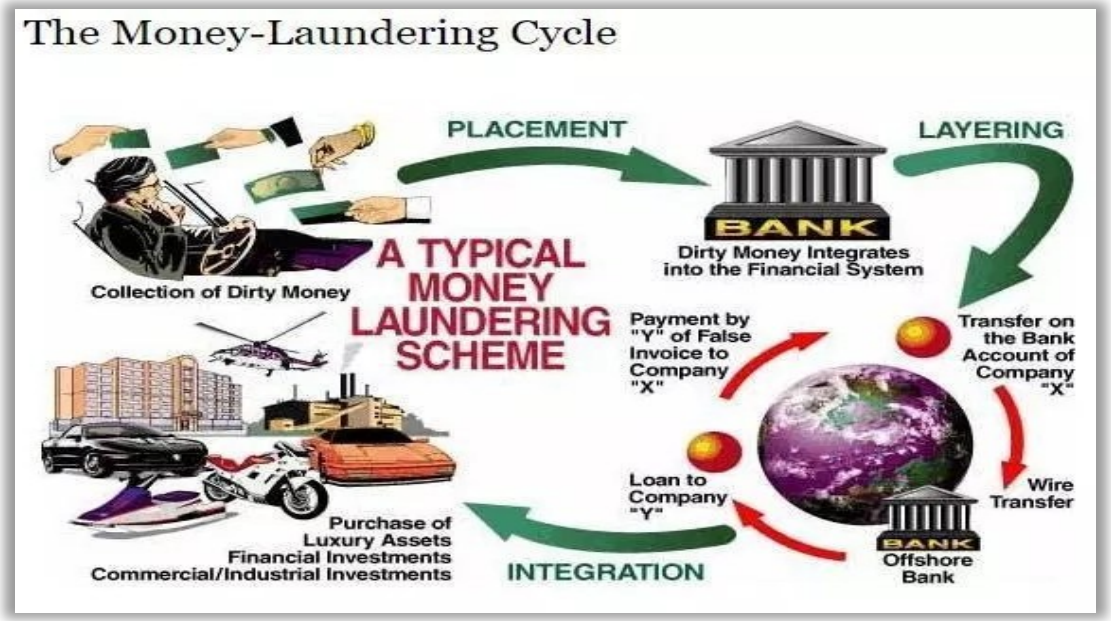
Obtaining certificate of deposit secured loans and depositing the loan disbursement cheque into an account

Transfer of funds outside and back into the U.S. (wire transfers, through "secrecy haven" countries)

INTEGRATION OF MONEY INTO THE ECONOMY

- Integration is the third stage of money laundering and can be accomplished simultaneously with the placement of funds.
- After the funds are placed into the financial system, and insulated through the layering process, integration is used to create the appearance of legality through additional transactions such as loans, or real estate deals.

These transactions provide the criminal with a plausible explanation about the funds gathered to purchase assets and shield the criminal from any type of recorded connection to the funds.



INTEGRATION OF MONEY INTO THE ECONOMY

During the integration stage, the funds are returned in a usable format to the criminal source. This process can be achieved through various schemes, such as:

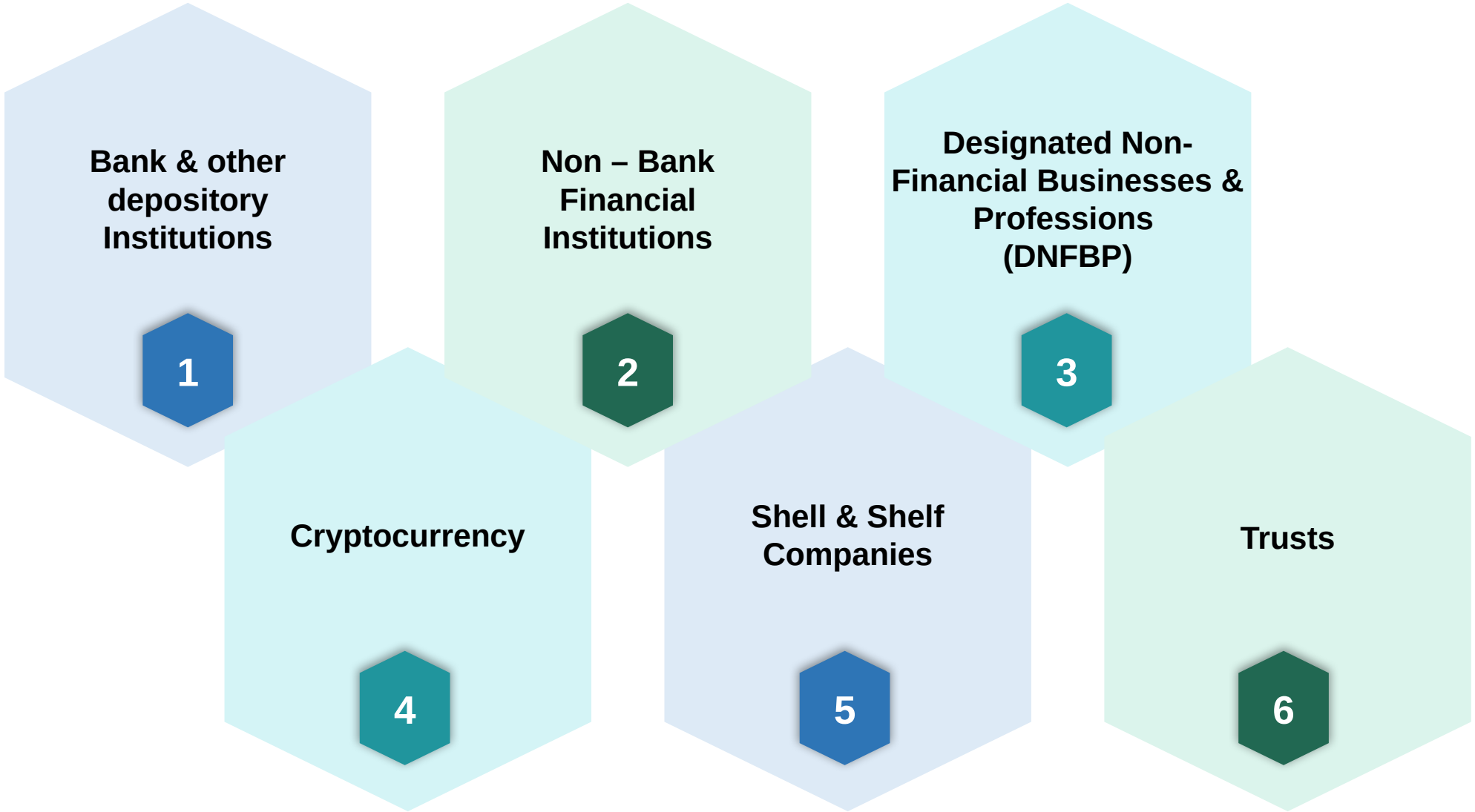
- Inflating business receipts. Overvaluing and undervaluing invoices
- Creating false invoices and shipping documents
- Establishing a phony charitable organization with Establishing foreign trust accounts

In class activity - Can we use gold to launder money?

These schemes are just a few examples of the integration stage; the possibilities are not limited.

- Detecting integration in Money Laundering is very difficult because it is the final stage where the process is almost complete. As earlier said, you would need to have been tracking the launders from the first two stages and gathered document proofs as evidence.
- Ongoing transaction monitoring and sanction screening is the best way to identify launders at this stage.

MONEY LAUNDERING – METHODS/ TECHNIQUES



BANK & OTHER DEPOSITORY INSTITUTIONS

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1

ELECTRONIC TRANSFERS OF FUNDS (EFT)

An electronic transfer of funds is any transfer of funds that is initiated by electronic means, eg : ACH, ATM etc. Used by money launders in layering stage:

Why EFT is used in ML? Vulnerabilities

- Fast channel for moving money between countries and accounts
- Multiple transfers from accounts, banks and countries increases the complexity of tracing the origin of the funds
- Some indicators of Money Laundering using electronic transfers of funds include:
- Funds transfers that occur to or from a financial secrecy haven, or to or from a high-risk geographic location without an apparent business reason, or when the activity is inconsistent with the customer's business or history.
- Large, incoming funds transfers that are received on behalf of a foreign client, with little or no explanation or apparent reason.
- Many small, incoming transfers of funds that are received, or deposits that are made using checks and money orders.
- Payments or receipts are received that have no apparent link to legitimate contracts, goods or services.
- Funds transfers that are sent or received from the same person to or from different accounts.



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2 Correspondent Banking

Correspondent banking is the provision of banking services by one bank (the "correspondent bank") to another bank (the "respondent bank'"). By CB, banks can undertake international financial transactions for themselves and for their customers in jurisdictions where they have no physical presence.

Why Correspondent banking is vulnerable to Money Laundering:

- By their nature, indirect relationship - the correspondent bank provides services for individuals or entities who are other institution customers, for which it has neither verified the identities nor obtained any first-hand knowledge.
- Process large volumes of transactions for their customers' customers. This makes it more difficult to identify suspect transactions, as the financial institution generally does not have the information on the actual parties conducting the transaction to know whether they are unusual.
- Determining the degree and effectiveness of the supervisory regime to which the respondent is subject may be much more difficult.
- Determining the effectiveness of the respondent bank's AML controls can also be a challenge.
- NESTING: means one bank providing FACILITIES to other bank and so on Some banks offering correspondent facilities may not ask their respondents about the extent to which they offer such facilities to other institutions.



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3 POLITICALLY EXPOSED PERSONS :(PEP)

- PEP is a person who has or had a prominent government or quasi-public position in a country. The Primary risk in dealing with PEP is source of funds from a PEP may be from corruption.
- According to FATF's Recommendations (2012), there are two types of Politically Exposed Persons (PEPs):
  - **Foreign PEPs**: Individuals who are or have been entrusted with prominent public functions by a foreign country, for example heads of state or of government, senior politicians, senior government, judicial or military officials, senior executives of state-owned corporations, important political party officials.
  - **Domestic PEPs:** Individuals who are or have been entrusted domestically with prominent public functions



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4

Structuring

Designing a transaction to evade triggering a reporting or recordkeeping requirement is called “structuring”. Breaking down transactions are ALWAYS below the reporting threshold.

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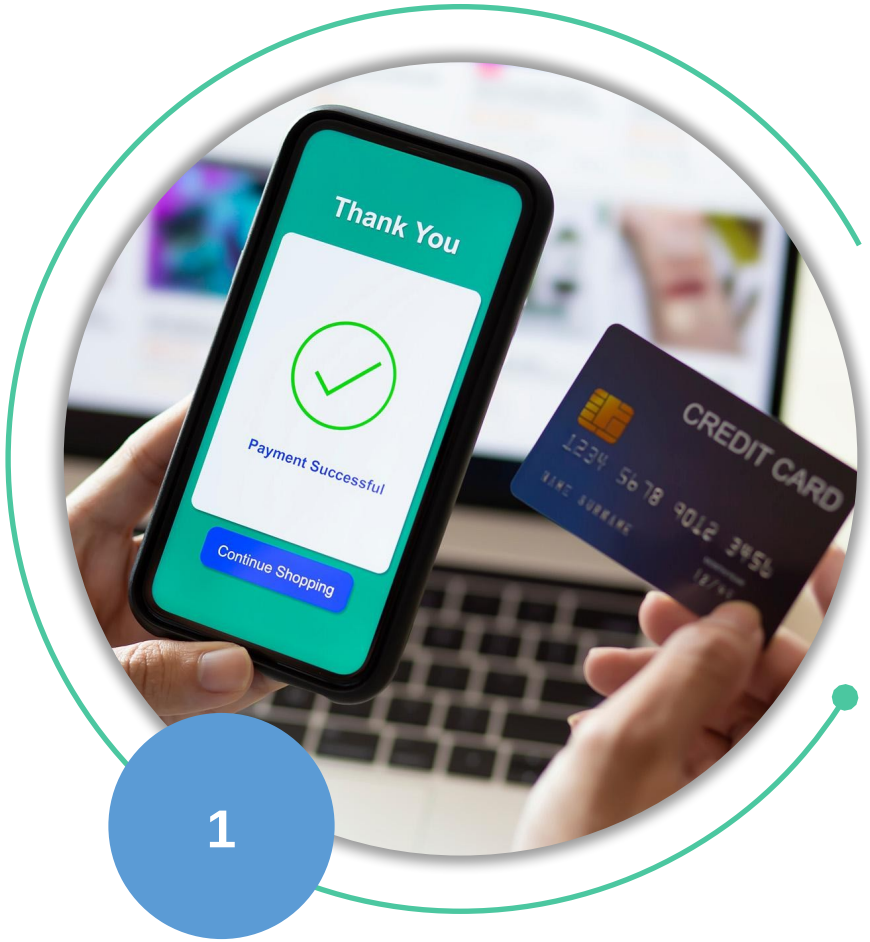
How?

- A common technique involved in structuring is called ‘smurfing,’ which involves multiple individuals making multiple cash deposits and/ or buying multiple monetary instruments or bank drafts in amounts under the reporting threshold in an attempt to evade detection. Examples of structuring:
- A customer breaks a large transaction into two or more smaller ones.
- A large transaction is broken into two or more smaller transactions conducted by two or more people.
- A wealthy Chinese man sends his fortune across to London



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NON-BANK FINANCIAL INSTITUTIONS



CREDIT CARD INDUSTRY

- The credit card industry includes:
- Credit card associations, such as American Express, MasterCard and Visa, which license member banks to issue bankcards
- Issuing banks, which solicit potential customers and issue the credit cards.
- Acquiring banks, which process transactions for merchants who accept credit cards.
- Third-party payment processors (TPPP)

WHEN used in ML:

- Credit card accounts are not likely to be used in the initial placement stage of Money Laundering because the industry generally restricts cash payments. They are more likely to be used in the layering or integration stages.

NON-BANK FINANCIAL INSTITUTIONS



MONEY SERVICES BUSINESSES/ MONEY TRANSFER BUSINESSES

- A money services business (MSB), or money or value transfer service (MVTS) are the institutions who transmits or converts currencies eg: Dealer in Foreign Exchange, Issuer of Traveler's Checks or Money Orders , US Postal Service
- Money launderers use money remitters and currency exchanges to make the funds available to the criminal organization at the destination country in the local currency.

Control:

- The most important aspects of due diligence for a bank when establishing a relationship with an MSB is to confirm that the MSB has implemented a sufficient AML program - And is properly licensed.

NON-BANK FINANCIAL INSTITUTIONS



Insurance Companies

- **Definition -** The insurance industry provides risk transfer, savings and investment products to a variety of consumers worldwide, ranging from individuals to large corporations to governments
- Life insurance appears to be by far the area most attractive to money launderers and is primary target of criminals engaging in Money Laundering and/or terrorist financing.

Vulnerabilities in the insurance sector include:

- Lack of oversight/controls over intermediaries: Insurance brokers
- Non-captive agents offer an insurance company's products but are not employed by an insurance company. They often work with several insurance companies to find the best mix of products for their clients.
- A potential policyholder is more interested in the cancellation terms of a policy than the benefits of the policy.
- The purchase and redemption of single premium insurance bonds are key laundering vehicles.
- The funding of insurance policies by third parties
- Purchase an insurance product with a single premium or lump-sum payment..

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

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CASINOS

Casinos are among the most proficient cash-generating businesses. Money laundering through casinos generally occurs in the **placement and layering** stage.



- Attempts to evade AML reporting or recordkeeping requirements: A customer receives a large payout in excess of $10,000 but requests currency of less than $10,000 and the balance paid in chips
- Using the cage solely for its banking-like financial services:—casino as a temporary repository for funds by making frequent deposits into the casino account and, within a short period of time, requests money transfers to domestic or foreign-based bank account.
- Minimal gaming activity without a reasonable explanation, such as:
    - **Acquires chips>Minimal gaming>redeems the chips for a casino check**

1

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

ONLINE GAMBLING

Online gambling provides an excellent method of Money Laundering for cyber criminals because transactions are conducted principally through credit or debit cards. Site operators are typically unregulated offshore firm.

Indicators/Methods of Money Laundering by Online Gambling:

- A money launderer colludes with an operator of an offshore online gambling operation and deposits funds obtained from criminal activities into the gambling account and withdraws such funds as winnings.
- A money launderer colludes with professional gamblers to place illegally obtained funds on online gambling websites.
- A money launderer deposits funds into an online gambling account by using a stolen identity. He or she bets using the funds and receives payouts for the winnings or sustains acceptable losses.



2

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

Dealers in Gold, Precious Metal and Precious Stones

- Gold has high intrinsic value in a relatively compact and easy to transport form. It can be bought and sold easily and often with anonymity for currency in most areas of the world.
- It is more readily accepted than precious stones, especially since it can be melted down into many different forms. It holds its value regardless of the form it takes.



2

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

DEALERS IN GOLD, PRECIOUS METAL AND PRECIOUS STONES

Indicators/Methods of Money Laundering:

- Payments or returns to persons other than the owner: If one person delivers precious metal for refining and asserts ownership of the metal and authority to sell it, but directs payments to be made to another person, that transaction may be questionable.
- Precious metal pool accounts: These accounts are maintained by a small number of large and sophisticated precious metal companies and have worldwide scope.
- They receive and hold precious metal credits for a customer, which can be drawn on by that customer. The customer can request the return of the precious metals, the sale and return of monetary proceeds, or the delivery of precious metal to another person.
- Retail foreign exchange transactions, Forged or fraudulent invoicing, Commingling of legitimate and illicit proceeds in the accounts of diamond trading companies, and, in particular, International fund transfers among these accounts.



2

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

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4. TRAVEL AGENCIES

- Purchasing an expensive airline ticket for another person who then asks for a refund.
- Structuring wire transfers in small amounts to avoid recordkeeping requirements, especially when the wires are from foreign countries.
- Establish tour operator networks with false bookings and documentation to justify significant payments from foreign travel groups.



2

DESIGNATED NON-FINANCIAL BUSINESSES AND PROFESSIONS (DNFBP)

REAL ESTATE

The real estate sector is frequently used in Money Laundering activities. Investing illicit capital in real estate is a classic method of laundering dirty money, particularly in countries with political, economic and monetary stability. Various tools of Money Laundering in Real Estate

- Use of loans and mortgages as a cover for laundering, which may involve lump sum cash repayments to integrate illicit funds into the economy.
- Structuring cash deposits used for the purchase.
- Generation of rental income to legitimize illicit funds.
- Conducting criminal activity, such as the production of cannabis or synthetic drugs, at the purchased property.
- Use of illicit cash to make property improvements to increase the value and profits at sale.
- Use of front companies, shell companies, trust and other company structures to hide beneficial ownership and obvious links to criminals.
- Use of gatekeepers such as real estate agents, conveyancers or solicitors to conceal criminal involvement, complicate the Money Laundering process and provide a veneer of legitimacy to the transaction.
- Investment by overseas-based criminals to conceal assets and avoid confiscation from authorities in their home jurisdiction.





VIRTUAL CURRENCY/ CRYPTOCURRENCY

A virtual or digital currency (VC) is a medium of exchange that operates in the digital space. It can be converted into either a fiat (e.g., a government-issued currency) or it can be a substitute for real currency.

WHAT ARE KEY CONCERNS OF VIRTUAL CURRENCY?

- BENEFICIAL OWNERSHIP INFORMATION MAY DIFFICULT TO OBTAIN
- Virtual currencies allow value to be able to be transmitted anywhere in the world without the requirement of a centralized bank or institutional authority.
- While each transaction is registered in the block chain and the publicly available distributed ledger, which provides valuable information beyond a traditional cash-to-cash exchange, it does not provide the actual identities behind the corresponding wallets.

SHELL AND SHELF COMPANIES



- **Shelf Company:** A corporation that has had no activity. It has been created and put on the shelf. This corporation is then later sold to someone who prefers a previously registered corporation over a new one.
- **Shell company/corporation:** A company that at the time of incorporation has no significant assets or operations.
- **Shell Bank:** Without a Physical Presence where incorporated and not regulated

The report, "Money Laundering in Canada: An Analysis of RCMP Cases," offered four related reasons to establish or control a shell company for Money Laundering purposes:

- Converting the cash proceeds: Shell companies accomplish the objective of converting the cash proceeds of crime into alternative assets.
- Create the perception of legitimate: Through the use of shell companies, the launderer can create the perception that illicit funds have been generated from a legitimate source.
- Bogus business transactions: Once a shell company is established, a wide range of legitimate and/or bogus business transactions can be used to further the laundering process.
- Concealing criminal ownership: Shell companies can also be effective in concealing criminal ownership. Nominees can be used as owners, directors, officers or shareholders.



SHELL AND SHELF COMPANIES

The report mentions the following Money Laundering technique/ methods used:

- **Using Nominees as Owners or Directors:** To distance a company from its criminal connections
- **Layering:** In some cases, a number of companies are established, many of them connected through a complex hierarchy of ownership. This helps to conceal criminal ownership and facilitates the transfer of illicit funds between companies, muddying any paper trail.
- **Loans:** Proceeds of crime can be laundered by lending money between criminally-controlled companies.
- **Fictitious business expenses/False invoicing:** Once a criminal enterprise controls corporate entities in different jurisdictions, it can employ a laundering technique known as “double invoicing.”
- **Sale of the business:** When the criminal sells the business, he has a legitimate source of capital.
- **Buying a company already owned by the criminal enterprise:** An effective laundering technique is to “purchase” a company already owned by the criminal enterprise. This laundering method is most frequently used to repatriate illicit money that was previously secreted to foreign tax havens.
- Paying out fictitious salaries to the participants

TRUSTS

Have a Grantor/ Settlor, Beneficiary and Trustee.

Trusts are private fiduciary arrangements that allow a grantor, or settlor, to place assets for future distribution to beneficiaries.



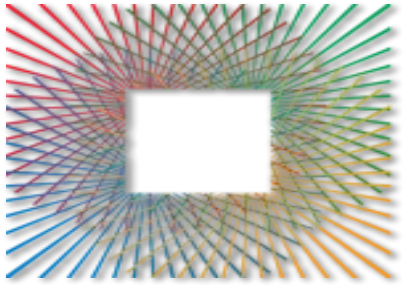
TRUSTS

Risks

- It can be used in the first stage of converting illicit cash into less suspicious assets; -it can help disguise the criminal ownership of funds or other assets,
- it is often an essential link between different Money Laundering vehicles and techniques, such as real estate, shell and active companies - They are also used to hide assets from legitimate creditors, to protect property from seizure under judicial action
- Payments to the beneficiaries of a trust can also be used in the Money Laundering process, because these payments do not have to be justified as compensation or as a transfer of assets for services rendered.
- E.g. Lawyers often serve as trustees by holding money or assets “in trust” for clients. This enables lawyers to conduct transactions and to administer the affairs of a client. Sometimes, the illicit money is placed in a law firm’s general trust account in a file set up in the name of the client, a nominee, or a company controlled by the client



BANKS IN THE NEWS



The BANK of NEW YORK

Laundered USD 7 – 9 Billion

Why the $7–9 billion?

This number refers to the approximate value of the funds moved through BNY accounts—between $7 billion and $7.5 billion. Later legal claims tripled this amount for punitive purposes, bringing potential liability up to $22.5 billion under U.S. law

In summary

- **Magnitude**: $7–7.5 billion illicit transfers, with possible amplification to $22.5 billion damages.
- **Bank stance**: No U.S. criminal conviction; paid modest settlement.
- **Global impact**: Sparked regulatory and compliance improvements in correspondent banking.

HSBC

Fined USD 1.9 billion in 2012, USD 43 million

HSBC agreed to a deferred-prosecution settlement with the U.S. Department of Justice, paying $1.92 billion ($1.256 billion in forfeiture + $665 million in civil penalties) for massive anti–money-laundering failures, including laundering over $881 million for drug cartels and processing transactions for Iran, Libya, Sudan, Burma, and Cuba. It was the largest fine ever imposed under the Bank Secrecy Act at that time

BANKS IN THE NEWS

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Standard Chartered

Fined USD 300 million in 2014, USD 340 million in 2012

In August 2012, **Standard Chartered** agreed to pay a $340 million fine to the New York Department of Financial Services. This was to resolve accusations that the bank concealed roughly $250 billion in transactions with Iran—violating U.S. sanctions—and installed a compliance monitor as part of the settlement ·

Then in August 2014, it paid an additional $300 million, again to the New York DFS, for failing to fix anti–money-laundering deficiencies identified after the 2012 settlement. The bank also faced sanctions like suspension of high-risk dollar clearings and was kept under compliance monitoring



BNP PARIBAS

Fined USD 8.9 billion

Back in June 2014, **BNP Paribas** pleaded guilty to conspiring to violate U.S. sanctions against Sudan, Iran, and Cuba. As part of the settlement, they agreed to pay a staggering US $8.9 billion—comprising roughly $8.8 billion in forfeiture and $140 million in fines—and accepted a one-year ban on certain U.S. dollar-clearing operations through their New York branch This was the largest ever fine for sanctions violations, marking a significant escalation in U.S. enforcement. The probe revealed that between 2004 and 2012, BNP Paribas processed approximately $190 billion in hidden transactions using elaborate schemes to mask their origin Senior management was aware and complicit, and the bank continued the conduct even after the investigation began

ADVERSE CONSEQUENCES OF MONEY LAUNDERING TO A FINANCIAL INSTITUTION

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Risks to Financial Institution are reputational, operational, legal and concentration risks

Reputational Risk to FIs

The potential that adverse publicity regarding an organization's business practices and associations, whether accurate or not, will cause a loss of public confidence in the integrity of the organization.

Operational Risk

The potential for loss resulting from inadequate internal processes, personnel or systems or from external events. Such losses can occur when institutions incur reduced or terminated inter-bank or correspondent banking services or an increased cost for these services.

Legal Risk

The potential for lawsuits, adverse judgments, unenforceable contracts, fines and penalties generating losses, increased expenses for an organization, or even the closure of the organization. Because of failed internal procedures i.e. KYC policy e.g. legitimate customers may become victims of a financial crime.

Concentration Risk

The potential for loss resulting from too much credit or loan exposure to one borrower or group of borrowers.

WHAT IS TERROR FINANCING?

- Terror financing is the act of providing funds to terrorists or terrorist organizations in order for them to carry out terrorist acts or to benefit any terrorist or terrorist organization.
- While money may come from illegal actions, it can also come from legal sources like salaries, profits from legal businesses, or gifts, including those made through non-profit organizations.
- Similar to money laundering, terror financing often involves three steps: raising, moving, and using funds. Despite the various steps, financing terrorism is done in a manner similar to, and in some instances may be identical to, that of money laundering. In each instance, the offender aims to use the financial or non-financial sectors for improper ends.

TERROR FINANCING

Terror financing refers to the process of providing funds or financial support for terrorist activities or organizations

Stages in Terror Financing

Collection > Dissemination > Usage

Collection	Dissemination	Usage
Both legitimate and illegitimate funds are collected and injected into financial system.	Moving the funds to disguise the ownership of funds that is separated from the source of funding through multiple transfers within and across jurisdictions	Funds reach point of use, which were used to aid individual terrorist and terrorist activities.

TERROR FINANCING – PROCESS

1

Raise Funds:

- Terrorists take advantage of weaknesses in financial and regulatory regimes to raise funds, and abuse charitable causes to trick individuals to contribute.
- Terrorists continue to adapt their tactics and diversify their funding sources, including raising money through the oil trade, extortion, undetected cash couriers, kidnapping for ransom, trafficking of humans and arms, and racketeering.

Move Funds:

- Cash Smuggling
- Traditional FIs, Money Changers
- Underground bankers
- Misuse of charities, Informal Value Transfer Services
- Use of Trade Based Money Laundering (TBML) and Service Based Money Laundering (SBML)
- Trafficking in precious stones



They circumvent formal channels to avoid detection, and exploit new technologies and tools to transfer resources. They have forged destructive and very profitable links with drug and criminal syndicates — among others.

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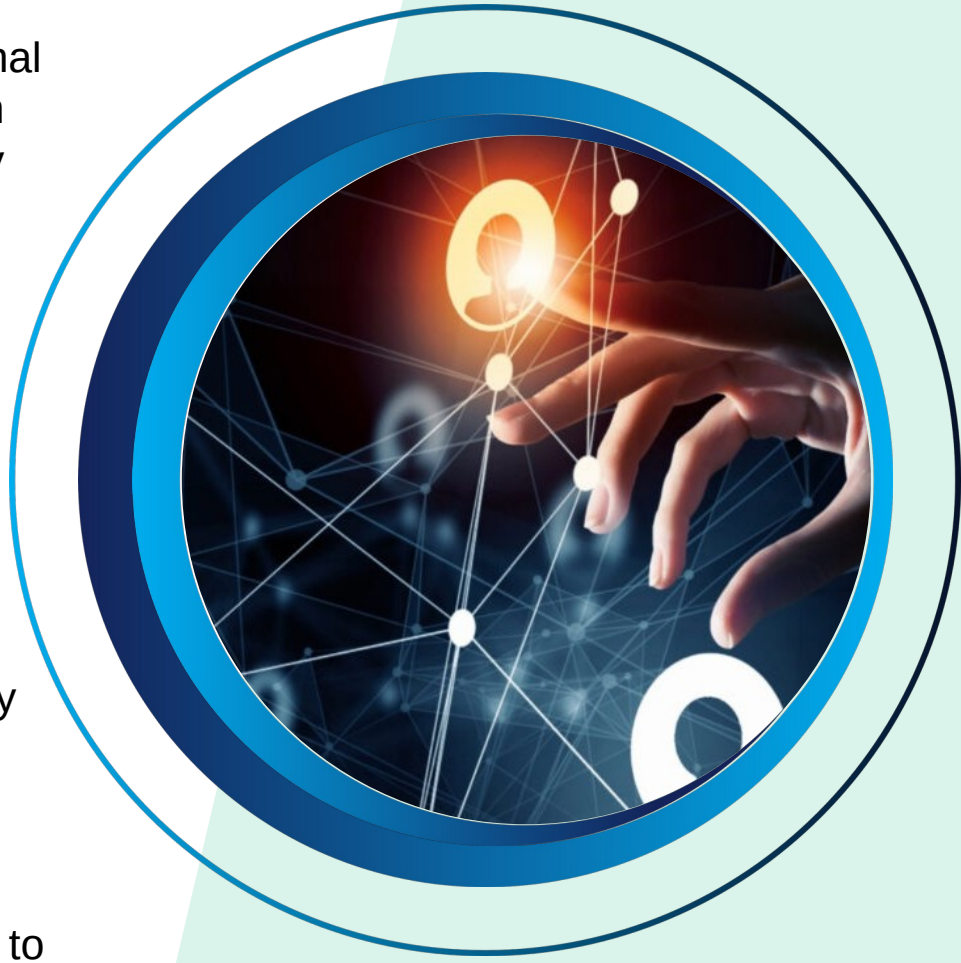
TERROR FINANCING – PROCESS

2 Use of Hawala and Other Informal Value Transfer Systems

- **Alternate Remittance System (ARSs)** commonly involve the international transfer of value outside the legitimate banking system and are based on trust. Also, Hawaladars use their accounts to move money internationally for third parties.
- The third parties are normally immigrants or visiting workers who send small sums to their homelands to avoid bank fees for wire transfers.
- **Reasons for legitimate use of hawala and other IVTS include:**
  - Cheaper and faster money transmission
  - Lack of banking access in the remittance receiving country,
  - Cultural preference and lack of trust in the formal banking system.
- There is usually no physical movement of currency and a lack of formality with regard to verification and record-keeping.

Why Hawalas are attractive to ML

- Hawalas are attractive to terrorist financiers because they are not consistently subject to formal government oversight and are not required to keep detailed records in a standard form.



TERROR FINANCING – PROCESS

3

Use of Charities or Non-Profit Organizations (NPOs)

Vulnerabilities of NPO

Charities or non-profit organizations have the following characteristics that are particularly vulnerable to misuse for terrorist financing:

- Enjoying the public trust.
- Having access to considerable sources of funds.
- Being cash-intensive.
- Frequently having a global presence, often in or next to areas exposed to terrorist activity.
- Often being subject to little or no regulation and/or having few obstacles to their creation.

FATF Recommendation 8 is to ensure that NPOs are not abused by:

- Terrorist organizations posing as legitimate entities
- Exploiting legitimate entities as conduits for terrorist financing
- Concealing or obscuring the clandestine diversion of funds intended for legitimate



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TERROR FINANCING – CONTROLS & INDICATORS

Indicators

To avoid becoming conduits for terrorist financing, what FIs must look at, among other things:

- Use of an account as a front for a person with suspected terrorist links.
- Appearance of an accountholder's name on a list of suspected terrorists.
- Frequent large cash deposits in accounts of non-profit organizations.
- High volume of transactions in the account.
- Lack of a clear relationship between the banking activity and the nature of the accountholder's business.
- Also pay attention to some classic indicators of Money Laundering, including dormant, low-sum accounts that suddenly receive wire transfer deposits followed by daily cash withdrawals that continue until the transferred sum is removed, and lack of cooperation by the client in providing required information.



DIFFERENCE BETWEEN MONEY LAUNDERING AND TERROR FINANCING

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PROCESS	MONEY LAUNDERING	TERROR FINANCING
Cash/asset	From criminal act	From legitimate/ illegitimate act
Placement	Deposited into account	Collection- asset is deposited into financial system
Layering	Funds moved to other institution to obscure origin	Dissemination: Funds moved to other institution to obscure origin
Integration	Funds acquired to use legitimate assets	Usage: funds distributed to fund terrorist activities
Motivation	Profit	Ideology
Source of funds	Illegitimate	Legitimate/illegitimate
Conduits	Favors from FI or FS	Favors from cash courier or hawala or exchange firms
Detection focus	Suspicious or unusual transactions	Suspicious or unusual relationships
Transaction amounts	Large - structured	Small – below reporting
Financial activity	Complex	No financial profile, commission
Money trail	Circular movement	Linear

Regulatory Authorities Multiple national and international bodies oversee AML/KYC compliance:

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FATF
Financial Action Task Force (global standard setter)

MAS
Monetary Authority of Singapore

FinCEN
Financial Crimes Enforcement Network (USA)

AMLD
Anti-Money Laundering Directives (European Union)

OFAC
Office of Foreign Assets Control (USA sanctions)

Basel Committee
Banking supervision standards

FCA
Financial Conduct Authority (UK)

Wolfsberg Group
Industry AML principles (13 global banks)

RBI / FIU-IND
Reserve Bank of India / Financial Intelligence Unit India

ANTI-MONEY LAUNDERING: OBJECTIVES

- Hit (organized) criminals where it hurts the most (their wallet!)
- Contribute to the prevention of (organized) crime by reduction of the incentives
- Protect the integrity of the financial system by preventing use and abuse by criminals and launderers

What would help achieve this?

Effecting provisions on confiscation / forfeiture of criminal proceeds	Criminalizing money laundering	KYC and CDD regulations	Creating a reporting system to enable reporting on unusual / suspicious transactions	Enhancing international cooperation and mutual assistance

CONSEQUENCE OF NOT COMPLYING WITH AML/CFT

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The possible consequence if an organization fails to manage the risk of money laundering:



Legal and regulatory sanctions and penalty: Organizational and individual sanctions are now the norm for those who fail to comply.



The Penalty could affect the bottom line



Wrong Negative publicity



Damage to corporate reputation and loss of goodwill

FATF AND HIGH-RISK JURISDICTION

What is a High-Risk Jurisdiction?

- The Financial Action Task Force, or FATF, is a global organization that develops policies and regulations to combat money laundering. They are also tasked with addressing terrorism financing.
- This task force examines jurisdictions based on their AML deficiencies and risks, or other specific threats that they pose to global financial systems. They work with regional regulatory bodies to analyze current AML standards, procedures, and sanctions and determine whether they are appropriate.
- If they are not, the FATF will put together an action plan to address deficiencies and ensure that they are meeting all global standards. Failure to comply will cause the country to be placed on the high-risk jurisdiction list, also known as the "Black List".
- Many of these countries do not have adequate measures to prevent or detect terrorist financing or money laundering. They may experience high levels of government corruption or other political issues that make working with them a serious threat to your financial system.
- Regulated businesses are obligated to understand the risk of doing business with a country on this list and must implement appropriate due diligence and countermeasures if they choose to transact with them.
- In other words, the FATF publishes its list of high-risk jurisdictions so that countries around the world can develop effective AML procedures and regulations.

FATF AND HIGH RISK JURISDICTION

Current Jurisdictions in this Category

So, what countries are considered to be high-risk jurisdictions?

- The FATF issues two statements several times a year to address this question. They will release the information each February, June, and October so that businesses have time to revise their AML screening processes accordingly.
- Over the years, the FATF has reviewed more than 100 countries and jurisdictions. 80 countries have been identified as needing reform regarding their AML regulations. Of these 80 countries, though, 60 have already completed the necessary improvements to be removed from the watch list.
- Each statement addresses the risk faced by each jurisdiction, including any flaws they must resolve to be removed from the list. The Financial Action Task Force public documents are titled as follows: High-Risk Jurisdictions Subject to a Call for Action and Jurisdictions Under Increased Monitoring.

FATF AND HIGH-RISK JURISDICTION

High-Risk Jurisdictions Subject to a Call for Action ("Black List")

You may be wondering, what does it take for a country to end up on the blacklist?

- In the case of the DPRK, the FATF has serious concerns about its lack of effort in combating terrorist financing and money laundering.
- They also have concerns about the proliferation of weapons of mass destruction and other illicit activities.

There are three countries in this category as of June 2023:

- **Democratic People's Republic of Korea (DPRK)**
- **Iran**
- **Myanmar**

FATF AND HIGH-RISK JURISDICTION

Jurisdictions Under Increased Monitoring ("Grey List")

While some countries may not have as high of a risk as the ones described above, many still require increased monitoring due to strategic deficiencies in their AML legislation. When a country goes on this list, it means they have committed to working with the FATF to address issues and is subject to additional scrutiny.

The following is a list of countries on the "Grey list" as of June 2023:

- Albania
- Barbados
- Burkina Faso
- Cameroon
- Cayman Islands
- Croatia
- Democratic Republic of the Congo
- Gibraltar
- Haiti
- Jamaica
- Jordan
- Mali
- Mozambique
- Nigeria
- Panama
- Philippines
- Senegal
- South Africa
- South Sudan
- Syria
- Tanzania
- Türkiye
- Uganda
- United Arab Emirates
- Vietnam
- Yemen



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THANK YOU !!!